JLC Initiative

Military service credit for veteran public employees — state, school division and local. One change, in one Code section: **§ 51.1-142.2**.

OBJECTIVE

Amend the Virginia Retirement System to allow **any veteran who works for Virginia** — for a state agency, a school division, a city, a county or a town — **to be eligible to buy up to four years of their active duty military service at the regular price at any point in their career**, instead of only during their first 24 months on the job.

DISCUSSION

The law today. A veteran has **24 months from hire** to buy up to four years of active duty military service at **approximate normal cost** — the regular published price. After 24 months, the same four years are repriced to "actuarial equivalent cost," which is far higher.

We ask that the regular price stay available for the veteran's whole career. Nothing else changes — same four-year limit, same proof of service, same rules on who may buy.

Why. The inequity is this: two veterans, same military service, same job, two different prices. The only difference is how long they have worked for Virginia. The deadline lands in the wrong place for three reasons:

- **It falls at the worst time to pay.** Four years costs **$18,668** for a member hired since 2014, **$34,933** in Plan 1, and roughly double that in hazardous duty — the price is a percentage of pay, set by plan. The average new state hire is **37.7 years old** — recently out of uniform, often taking a pay cut, at the bottom of the pay scale.
- **It cannot be paid off slowly.** VRS payment plans run 6 to 12 months and cannot run past the 24-month deadline. Pay fast, or lose the price for good.
- **Most veterans never hear about it in time.** It is one line in a long statute, explained on day one with the rest of the new-hire paperwork. The average state employee stays **10.3 years** — five times longer than the window.

How many people. All 110,474 active Plan 1 members are already past the deadline as a matter of law — 29% of everyone under VRS. Across all three plans, an estimated **11,600 to 24,000** veterans hold service they could still buy — a ceiling, because § 51.1-142.2 B 3 already bars a veteran whose service counts toward a military retirement they draw.

COST

This bill requests no appropriation — there is no general fund ask. The cost is absorbed in the employer contribution rates the VRS Board certifies under **§ 51.1-145**. For state agencies, and the Commonwealth's share of teacher rates, those contributions arrive in a **future** appropriation act — and **school divisions and local governments pay their own VRS rates.**

The cost is real, and most of it is retirements arriving earlier. Buying credit raises the monthly pension a little; it also moves the unreduced retirement date **earlier**, and those earlier retirements are the larger half of the bill. Modelled one-time cost to the Fund: **$28 million to $166 million**, or **1 to 4 cents per $100 of payroll a year** over 20 years, against employer rates of **14% to 20%** today.

The range is wide for one reason: nobody outside VRS knows how many veterans will buy. Members pay out of their own pockets, so take-up is normally low — but this bill removes the three things holding it down. JLCVSO has asked VRS for that data.

The cost per veteran falls on its own. It is **$47,967** for a Plan 1 member and **$6,779** for a Hybrid member. Hybrid is 53% of the workforce today and **100% of future hires**, so this bill gets cheaper every year with no further legislation.

> *JLCVSO analyst estimates from published VRS rates — not VRS figures. VRS must file its own statement on any bill affecting VRS (§ 30-19.1:7), and that is the number the money committees will use. Ask VRS for it before this bill is filed.*

RECOMMENDATION

Amend and reenact § 51.1-142.2 of the Code of Virginia to:

1. **Remove the 24-month price deadline for military service only.** Leave it in place for every other kind of purchased service, so the bill stays narrow.
2. **Allow payment over up to 60 months** by payroll deduction.
3. **Give the VRS Board two guardrails:** authority to set the published price by **age and length of service**, and authority to withhold the credit where the member retires within 12 months of buying it. These stop last-minute buying — which does mean a veteran buying in sight of retirement may pay more than the flat rate.

No regulation change is needed. The price rule is written into the statute, so this takes a bill.